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As active brokers and capital facilitators, we constantly engage with investors, operators, and lenders to stay abreast of the Seniors Housing and Long-Term Care market. This brief report highlights key insights gathered from recent conversations with industry stakeholders of all types.

- Construction costs remain extraordinarily high. Expansion projects for new developments face limited support in most markets, especially when evaluating the project's terminal valuation. Even in more affordable areas of the country, the costs to build exceed **$400,000 per unit**.
- The new development projects that are getting completed have much longer holding period projections. Five-year holds are becoming **10-years** as developers need more time to allow rental rates to outpace expenses in their projections and achieve targeted returns.
- Economics for nursing homes enrolled in Intergovernmental Transfer Programs are changing. Some states allow nursing homes to operate under a hospital's license to receive additional Medicaid reimbursement through a federal funds matching mechanism. Nursing homes are consistently negotiating a higher share of Medicaid dollars, with splits in favor of the provider increasing. As an example, Texas providers are now achieving **70-80% splits** as hospitals compete for these partnerships.
- Private equity firms and owners are frequently changing management companies for their senior communities. Our estimation is that over the past nine months alone, there have been more management company replacements than in the preceding two years. Rising frustrations over lower occupancies aren't quelled with managers still using "COVID-attitudes" as their excuse for not increasing occupancy.
- Vacant NFP board member positions are on the rise; particularly for rural, standalone communities without the backing of a large endowment or religious organization. Conversations we've had throughout 2023 indicate that **one out of every ten** boards that oversee communities of this profile have a vacant position.
- Even on stabilized product, conventional bank lenders are requiring borrowers to provide 6-12 months of debt service escrow and 10% of the loan amount as new deposit commitments. There is speculation about whether these institutions believe these deals are palatable or if they are simply trying to maintain a presence in the market while effectively being pencils down. Ironically, if most borrowers posted these cash amounts with their current lender, they would likely receive an extension and not face the need to refinance.
- Assisted Living providers continue to lease out parts of their buildings to third-party therapy providers. While the rental income received is low (averaging **$1.50 - $2.50/sq. ft. per month**), there are bigger benefits at play. Some state Medicaid Waiver programs allow for increased reimbursement for facilities that offer therapy services to residents. Additionally, quality outcomes are improved as resident falls drop significantly when therapy services are offered on-site.
- Appraisers are grappling with valuing distressed Assisted Living/Memory Care assets that are on lenders' books or in receivership. On a per-unit basis, these have gone as low as **$25-30k/unit** for properties that don't merit a going-concern usage and would be reconfigured into market apartments or age-restricted rentals.
- Full-Time marketing directors continue to get cut from smaller assisted/memory care communities. Even in top markets, the Executive Directors are being asked to market the community themselves in addition to their day-to-day managerial tasks.
- More small-scale providers are enrolling with Professional Employer Organizations (PEO's). This is where a payroll company files their PEO groups under one EIN, and handles additional issues such as worker's comp, employee health insurance/benefits, 401(k) plans and more.

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